

bank bonds, from bank bonds to insurance bonds, from insurance bonds to utility bonds, from utility bonds to mining- and oil-company bonds, from oil-company bonds to industrial-company bonds, more or less in that order.

Stocks went on sale in the U.S. as early as the eighteenth century. The first known stock was issued on the Bank of North America, which regrettably collapsed in 1792. By 1818, there were 29 issues traded in the coffeehouses that served as a New York stock exchange. Ten of these issues were banks. By the 1830s, there were insurance stocks, and after that came railroad stocks, then oil and mining stocks.

Since the earliest days, there have been countless bull markets and bear markets, also known as swimming markets and sick markets. These can be summarized as follows. There was the bull market of 1781; the collapse of 1792; the panic of 1837 and again of 1857; the bull market of 1877 that gave way to the bear market of 1881–85; the “reckless carnivals of prodigality” in 1892 and 1906; the collapses of 1893, 1903, and 1907; the 1919 high; the recession of 1920; the 1921 low; the so-called Crash of 1929; the low of 1932; the general uptrend into 1949; the choppy 1950s; the 1962 low; the 1969 high; the early 1970s low; the late 1970s advance into the 1980s, as of this writing the greatest bull decade in history.

In reviewing these markets, I had a hard time figuring out just how many people invested in what, and when. Curiously, every couple of decades the general public is said to have “recently discovered” investing. There’s been a continual string of these discoveries ever since the eighteenth century, when the public first bought the Revolutionary War bonds. Seventy years later, in 1848, a book called *Stock Jobbing on Wall Street* reported that the masses finally had begun to invest. Again in 1906, *World’s Work* magazine announced that the average investor had just become the “mainstay of the investment market.” Twenty years after that, the elder Rukeyser noted that “brokers are for the first time selling to the average person.” Another thirty years later, in 1956, the New York Stock Exchange celebrated the birth of “people’s capitalism” and Merrill Lynch bragged about having brought “Main Street to Wall Street.” Again in the mid-1960s, Wall Street was reintroduced to the inexperienced multitude, now known as the Thundering Herd.